LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

YEAR ENDED 31 MARCH 2014

Lanka Orix Leasing Company PLC
Interim Financial Statements
For the Year ended 31 March 2014

Content

1 Statement of Financial Position

2 Statement of Comprehensive Income

3 Statement of Changes in Equity

4 Statement of Cash flows

5 Notes to the Interim Financial Statements

6 Operating Segments

7 Statement of Directors' Holding and Chief Executive Officer’s holding in Shares of the Entity

8 Top Twenty Shareholders

Lanka Orix Leasing Company PLC
Statement of Financial Position

As at	Group		Company	
	31-Mar-14	**31-Mar-13**	**31-Mar-14**	**31-Mar-13**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
	Un-audited	**Audited**	**Un-audited**	**Audited**
Assets				
Cash and cash equivalents	5,362,900	6,591,389	94,205	730,311
Trading assets - fair value through profit or loss	1,017,080	1,709,016	536,324	805,024
Investment securities	16,288,211	13,174,024	382,733	494,336
Finance lease receivables, hire purchases and operating leases	36,259,244	38,090,461	1,069	50,352
Advances and other loans	54,285,640	49,724,225	1,513,663	2,726,748
Insurance premium receivables	449,589	303,431	-	-
Inventories	2,191,924	2,798,388	44,435	-
Current tax assets	1,122,554	981,897	186,559	154,185
Trade and other current assets	7,210,976	6,663,991	2,805,601	8,398,265
Prepaid lease rentals on leasehold properties	149,797	289,185	-	-
Investment properties	7,159,772	6,339,688	331,500	412,500
Real estate stocks	-	2,598	-	-
Biological Assets;				
Consumer Biological Assets	3,050,783	2,871,193	-	-
Bearer Biological Assets	3,633,650	3,617,989	-	-
Investments in group companies;				
Subsidiary companies	-	-	32,624,978	29,796,324
Joint venture companies	-	-	14,298	14,298
Equity accounted investees - Associates	13,430,348	10,105,241	7,009,250	6,746,789
Deferred tax assets	401,602	508,992	10,985	65,178
Intangible assets	739,386	769,453	142,276	95,433
Property, plant and equipment	22,707,042	18,440,368	3,546,246	2,749,598
Total assets	**175,460,498**	**162,981,529**	**49,244,122**	**53,239,341**
Liabilities and equity				
Liabilities				
Bank overdrafts	2,934,398	6,875,475	399,689	1,374,998
Trading liabilities - fair value through profit or loss	405,434	627,652	6,443	125,204
Deposits liabilities	49,614,881	34,277,706	-	-
Interest bearing borrowings	66,165,893	65,341,521	13,860,363	18,006,102
Insurance provision - life	271,794	116,138	-	-
Insurance provision - general	1,248,685	928,051	-	-
Current tax payables	1,040,982	925,103	137,243	73,524
Trade and other payables	4,812,127	7,071,823	543,727	842,084
Deferred tax liabilities	2,755,196	2,155,856	-	-
Deferred income	259,286	292,717	-	-
Retirement benefit obligations	1,151,932	996,729	149,112	96,841
Total liabilities	**130,660,608**	**119,608,771**	**15,096,577**	**20,518,753**
Equity				
Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
Reserves	5,296,895	2,268,778	1,527,529	767,952
Retained earnings	17,063,334	18,144,262	32,144,816	31,477,436
Equity attributable to shareholders of the Company	**22,835,429**	**20,888,240**	**34,147,545**	**32,720,588**
Non-controlling interests	**21,964,461**	**22,484,518**	**-**	**-**
Total equity	**44,799,890**	**43,372,758**	**34,147,545**	**32,720,588**
Total liabilities & equity	**175,460,498**	**162,981,529**	**49,244,122**	**53,239,341**
Net assets per share (Rs.)	**48.05**	43.96	**71.86**	68.86

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mr. Ishara Nanayakkara
Deputy Chairman
29th May 2014, Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Income Statement

	Group					Company				
	Three Months Ended		Year Ended			Three Months Ended		Year Ended		
	31-Mar-14 Rs.' 000	31-Mar-13 Rs.' 000	31-Mar-14 Rs.' 000	31-Mar-13 Rs.' 000	Variance %	31-Mar-14 Rs.' 000	31-Mar-13 Rs.' 000	31-Mar-14 Rs.' 000	31-Mar-13 Rs.' 000	Variance %
Gross income	**12,045,752**	**11,756,251**	**45,007,780**	**42,391,174**	**6**	**2,335,149**	**1,470,355**	**5,460,558**	**4,683,628**	**17**
Revenue	2,119,259	2,893,158	13,823,433	16,988,149	(19)	-	-	-	-	-
Less: cost of sales	(914,560)	(1,099,715)	(8,245,683)	(10,721,914)	(23)	-	-	-	-	-
Gross profit	**1,204,699**	**1,793,443**	**5,577,750**	**6,266,235**	**(11)**	**-**	**-**	**-**	**-**	**-**
Income	8,623,457	7,889,605	27,557,706	22,890,876	20	462,951	1,122,344	2,111,378	3,541,670	(40)
Other income/(expenses)	1,303,036	973,488	3,626,641	2,512,149	44	1,872,198	348,011	3,349,180	1,141,958	193
Net finance costs	(3,950,089)	(3,999,627)	(16,408,948)	(14,527,659)	13	(620,691)	(965,763)	(2,720,484)	(3,464,147)	(21)
Profit before operating expenses	**7,181,103**	**6,656,909**	**20,353,149**	**17,141,601**	**19**	**1,714,458**	**504,592**	**2,740,074**	**1,219,481**	**125**
Operating expenses										
Direct expenses excluding finance costs	519,881	656,445	(2,236,834)	(1,529,427)	46	4,922	76,466	(95,750)	(33,576)	185
Personnel costs	(2,451,064)	(2,055,116)	(5,649,325)	(4,898,502)	15	(50,961)	(93,547)	(129,311)	(141,523)	(9)
Net impairment (loss) / reversal on financial assets	(1,310,600)	(1,499,509)	(3,530,471)	(2,090,382)	69	(55,622)	21,057	32,443	(54,256)	(160)
Depreciation and amortization	(307,004)	(416,338)	(972,249)	(1,979,774)	(51)	(78,954)	(120,422)	(308,429)	(559,854)	(45)
Other operating expenses	(3,228,178)	(2,579,632)	(5,520,083)	(4,684,418)	18	(1,417,448)	(211,882)	(1,549,984)	(362,370)	328
Results from operating activities	**404,138**	**762,759**	**2,444,187**	**1,959,098**	**25**	**116,395**	**176,264**	**689,043**	**67,902**	**915**
Gain on disposal of subsidiaries	73,197	-	79,846	-	100	-	-	-	-	-
Share of profits of equity accounted investees	701,317	75,124	1,497,380	246,128	508	-	-	-	-	-
Gains on bargain purchases	288,113	170,884	493,586	1,500,945	(67)	-	-	-	-	-
Profit before income tax expense	**1,466,765**	**1,008,767**	**4,514,999**	**3,706,171**	**22**	**116,395**	**176,264**	**689,043**	**67,902**	**915**
Income tax expense	(329,730)	(233,731)	(1,391,080)	(1,153,884)	21	50,604	(86,813)	16,094	(33,718)	(148)
Profit for the period	**1,137,035**	**775,036**	**3,123,919**	**2,552,287**	**22**	**166,999**	**89,451**	**705,137**	**34,184**	**1,963**
Profit attributable to;										
Equity holders of the Company	239,031	187,319	1,532,746	1,896,018		166,999	89,451	705,137	34,184	
Non-controlling interests	898,004	587,717	1,591,173	656,269		-	-	-	-	
Profit for the period	**1,137,035**	**775,036**	**3,123,919**	**2,552,287**		**166,999**	**89,451**	**705,137**	**34,184**	
Basic earnings per share	**0.50**	**0.39**	**3.23**	**3.99**		**0.35**	**0.19**	**1.48**	**0.07**	

Figures in brackets indicate deductions.

Statement of Other Comprehensive Income

	Group				Company			
	Three Months Ended		Year Ended		Three Months Ended		Year Ended	
	31-Mar-14 Rs.' 000	31-Mar-13 Rs.' 000	31-Mar-14 Rs.' 000	31-Mar-13 Rs.' 000	31-Mar-14 Rs.' 000	31-Mar-13 Rs.' 000	31-Mar-14 Rs.' 000	31-Mar-13 Rs.' 000
Profit for the period	**1,137,035**	**775,036**	**3,123,919**	**2,552,287**	**166,999**	**89,451**	**705,137**	**34,184**
Other comprehensive income								
Revaluation of property, plant & equipment	1,540,378	937,497	2,033,142	937,497	249,645	-	787,783	-
Deferred tax on recaluation	(107,945)	-	(107,945)		(70,287)		(70,287)	
Net change in fair value of available-for-sale financial assets net of transfers upon disposals	(28,408)	432,909	(1,472,942)	(168,444)	161,945	(101,063)	63,897	(273,861)
Effect on translation differences for foreign operations	995	86,956	752	86,956	-	-	-	-
Net movement of cash flow hedges	237,251	(134,007)	(23,848)	(290,394)	(1,013)	55,863	(21,816)	(53,799)
Defined benefit plan actuarial gains / (losses) for the year	(91,205)	(31,133)	(91,205)	(31,133)	(38,842)	-	(38,842)	-
Deferred tax on actuarial gains / (losses)	6,140	-	6,140	-	-	-	-	-
Share of other comprehensive income of equity accounted investees (net of tax)	478,952	70,723	478,952	70,723	-	-	-	-
Income tax recognised in other comprehensive income	-	(58,348)	-	(58,348)	-	-	-	-
Other comprehensive income/ (expense) for the year, net of tax	**2,036,158**	**1,304,597**	**823,046**	**546,857**	**301,448**	**(45,200)**	**720,735**	**(327,660)**
Total comprehensive income / (expense) for the period	**3,173,193**	**2,079,633**	**3,946,965**	**3,099,144**	**468,447**	**44,251**	**1,425,872**	**(293,476)**
Total comprehensive income / (expense) attributable to;								
Equity holders of the Company	2,949,386	503,441	4,167,750	1,595,201	468,447	44,251	1,425,872	(293,476)
Non-controlling interests	223,807	1,576,192	(220,785)	1,503,943	-	-	-	-
Total comprehensive income / (expense) for the period	**3,173,193**	**2,079,633**	**3,946,965**	**3,099,144**	**468,447**	**44,251**	**1,425,872**	**(293,476)**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the Year ended 31 March 2014

	Equity attributable to the shareholders of the Company							
Company	**Stated Capital**	**Revaluation Reserve**	**Cash flow hedge Reserve**	**Fair Value Reserve on AFS**	**Future Taxation Reserve**	**Statutory Reserve Fund**	**Retained Earnings**	**Total**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Balance as at 01 April 2012	**475,200**	**600,887**	**79,761**	**209,964**	**205,000**	**272,356**	**31,408,496**	**33,251,664**
Total comprehensive income for the period								
Profit for the period	-	-	-	-	-	-	34,184	**34,184**
Other comprehensive income								
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	(273,861)	-	-	-	**(273,861)**
Net movement of cash flow hedges	-	-	(53,799)	-	-	-	-	**(53,799)**
Total comprehensive income for the period	-	-	(53,799)	(273,861)	-	-	34,184	**(293,476)**
Dividend Paid	-	-	-	-	-	-	(237,600)	**(237,600)**
Transfers	-	(272,356)	-	-	-	-	272,356	**-**
Balance as at 31 March 2013	**475,200**	**328,531**	**25,962**	**(63,897)**	**205,000**	**272,356**	**31,477,436**	**32,720,588**
Balance as at 01 April 2013	**475,200**	**328,531**	**25,962**	**(63,897)**	**205,000**	**272,356**	**31,477,436**	**32,720,588**
Total comprehensive income for the period								
Profit for the period	-	-	-	-	-	-	705,137	**705,137**
Other comprehensive income								
Net change in fair value of available-for-sale financial assets	-	-	-	63,897	-	-	-	**63,897**
Net movement of cash flow hedges	-	-	(21,816)	-	-	-	-	**(21,816)**
Revaluation of Property, plant & equipment	-	787,783	-	-	-	-	-	**787,783**
Deferred tax on revaluation	-	(70,287)	-	-	-	-	-	**(70,287)**
Defined benefit plan actuarial gains / (losses)	-	-	-	-	-	-	(38,842)	**(38,842)**
Total comprehensive income for the period	**-**	**717,496**	**(21,816)**	**63,897**	**-**	**-**	**666,295**	**1,425,872**
Dividend Forfeited	-	-	-	-	-	-	1,085	**1,085**
Balance as at 31 March 2014	**475,200**	**1,046,027**	**4,146**	**-**	**205,000**	**272,356**	**32,144,816**	**34,147,545**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the Year ended 31 March 2014

	Equity Attributable to the Owners of the Company											
Group	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Investment Fund	Retained Earnings	Total	**Non-controlling Interests**	**Total Equity**
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	**Rs.' 000**	**Rs.' 000**
Balance as at 01 April 2012	475,200	812,540	301,481	(372,528)	31,816	205,000	1,131,542	281,274	16,702,750	19,569,075	**23,644,277**	**43,213,352**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	1,896,018	1,896,018	656,269	**2,552,287**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	(361,982)	-	-	-	-	-	(361,982)	193,539	**(168,443)**
Revaluation of property, plant and equipment	-	204,799	-	-	-	-	-	-	-	204,799	732,698	**937,497**
Deferred tax on revaluation	-	(13,945)	-	-	-	-	-	-	-	(13,945)	(47,922)	**(61,867)**
Foreign currency translation differences for foreign operations	-	-	-	-	86,956	-	-	-	-	86,956	-	**86,956**
Net movement of cash flow hedges	-	-	(253,126)	-	-	-	-	-	-	(253,126)	(37,268)	**(290,394)**
Defined benefit plan actuarial gains / (losses)	-	-	-	-	-	-	-	-	(13,418)	(13,418)	(17,715)	**(31,133)**
Share of other comprehensive income of equity accounted investees (net of	-	45,134	-	40,503	-	-	-	-	(37,447)	48,190	22,533	**70,723**
Tax on other comprehensive income (excluding tax on revaluation)	-	-	-	-	-	-	-	-	1,709	1,709	1,810	**3,519**
Total comprehensive income for the period	-	235,988	(253,126)	(321,479)	86,956	-	-	-	1,846,862	1,595,201	**1,503,944**	**3,099,145**
Transactions with owners directly recorded in the Equity												
Contributions by and distributions to owners												
Dividends paid during the period	-	-	-	-	-	-	-	-	(237,600)	(237,600)	(281,810)	**(519,410)**
Total contribution by / (distributions to) owners of the Company	-	-	-	-	-	-	-	-	(237,600)	(237,600)	**(281,810)**	**(519,410)**
Changes in ownership interests in subsidiaires that do not result in a												
Forward to acquire non-controlling interestes	-	-	-	-	-	-	-	-	(45,153)	(45,153)	(1,265,768)	**(1,310,921)**
Acquisition of non-controlling interests without a change in control	-	-	-	-	-	-	-	-	(365,309)	(365,309)	(1,148,346)	**(1,513,655)**
Ajustments due to changes in group holdings and other consolidation	-	-	-	-	-	-	-	-	375,177	375,177	35,266	**410,443**
Total changes in ownership interests in subsidiaires	-	-	-	-	-	-	-	-	(35,285)	(35,285)	**(2,378,848)**	**(2,414,133)**
Total transactions with the owners of the Company	-	-	-	-	-	-	-	-	(272,885)	(272,885)	**(2,660,658)**	**(2,933,543)**
Other movements in equity												
Depreciation transfer on revaluation	-	(601)	-	-	-	-	-	-	601	-	-	**-**
Net transfers to / (from) statutory reserve fund	-	-	-	-	-	-	(96,246)	-	96,246	-	-	**-**
Transfers to investment fund account	-	-	-	-	-	-	-	226,161	(226,161)	-	-	**-**
Stamp duty on subsidiary share issues	-	-	-	-	-	-	-	-	(3,151)	(3,151)	(3,045)	**(6,196)**
	-	-	-	-	-	-	-	-	-	-	-	**-**
Total other movements	-	(601)	-	-	-	-	(96,246)	226,161	(132,465)	(3,151)	**(3,045)**	**(6,196)**
Balance as at 31 March 2013	475,200	1,047,927	48,355	(694,007)	118,772	205,000	1,035,296	507,435	18,144,262	20,888,240	**22,484,518**	**43,372,758**

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the Year ended 31 March 2014

Group	Equity Attributable to the Owners of the Company											
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Investment Fund	Retained Earnings	Total	**Non-controlling Interests**	**Total Equity**
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	**Rs.' 000**	**Rs.' 000**
Balance as at 01 April 2013	475,200	1,047,927	48,355	(694,007)	118,772	205,000	1,035,296	507,435	18,144,262	20,888,240	**22,484,518**	**43,372,758**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	1,532,746	1,532,746	1,591,173	**3,123,919**
Other comprehensive income												
Movement in AFS												
Net change in fair value of available-for-sale financial assets	-	-	-	22,407	-	-	-	-	-	22,407	(156,364)	**(133,957)**
Impairement of AFS transferrs to profit or loss	-	-	-	136,199	-	-	-	-	-	136,199	-	**136,199**
Transfers upon disposals	-	-	-	490,740	-	-	-	-	-	490,740	(1,965,924)	**(1,475,184)**
Revaluation of property, plant and equipment	-	1,800,930	-	-	-	-	-	-	-	1,800,930	232,212	**2,033,142**
Deferred tax on revaluation	-	(97,894)	-	-	-	-	-	-	-	(97,894)	(10,051)	**(107,945)**
Foreign currency translation differences for foreign operations	-	-	-	-	752	-	-	-	-	752	-	**752**
Net movement of cash flow hedges	-	-	(19,961)	-	-	-	-	-	-	(19,961)	(3,887)	**(23,848)**
Defined benefit plan actuarial gains / (losses)	-	-	-	-	-	-	-	-	(68,519)	(68,519)	(22,686)	**(91,205)**
Deferred tax on actuarial gains / (losses)	-	-	-	-	-	-	-	-	2,030	2,030	4,110	**6,140**
Share of other comprehensive income of equity accounted investees (net of	-	156,680	-	211,679	-	-	-	-	(39)	368,320	110,632	**478,952**
Tax on other comprehensive income (excluding tax on revaluation)	-	-	-	-	-	-	-	-	-	-	-	**-**
Total other comprehensive income for the period	-	1,859,716	(19,961)	861,025	752	-	-	-	(66,528)	2,635,004	**(1,811,958)**	**823,046**
Total comprehensive income for the period	-	1,859,716	(19,961)	861,025	752	-	-	-	1,466,218	4,167,750	**(220,785)**	**3,946,965**
Transactions with owners directly recorded in the Equity												
Contributions by and distributions to owners												
Dividends paid during the period	-	-	-	-	-	-	-	-	-	-	(72,767)	**(72,767)**
Dividends fofieted during the period	-	-	-	-	-	-	-	-	1,085	1,085	-	**1,085**
Total contribution by / (distributions to) owners of the Company	-	-	-	-	-	-	-	-	1,085	1,085	**(72,767)**	**(71,682)**
Trasaction due to changes in group holding												
Acquisition of subsidiaires	-	-	-	-	-	-	-	-	-	-	626,300	**626,300**
Disposal of subsidiairies	-	-	-	-	-	-	-	-	-	-	(102,230)	**(102,230)**
Changes in ownership interests in subsidiaires that do not result in a change in control	-	-	-	-	-	-	-	-	(2,203,760)	(2,203,760)	(750,255)	**(2,954,015)**
Total rasaction due to changes in group holding	-	-	-	-	-	-	-	-	(2,203,760)	(2,203,760)	**(226,185)**	**(2,429,945)**
Total transactions with owners directly recorded in the Equity	-	-	-	-	-	-	-	-	(2,202,675)	(2,202,675)	**(298,952)**	**(2,501,627)**
Other movements in equity												
Depreciation transfer on revaluation	-	(174,141)	-	-	-	-	-	-	174,141	-	-	**-**
Net transfers to / (from) statutory reserve fund	-	-	-	-	-	-	255,486	-	(255,486)	-	-	**-**
Transfers to investment fund account	-	-	-	-	-	-	-	245,240	(245,240)	-	-	**-**
Share issue cost of subsidiairy companies	-	-	-	-	-	-	-	-	(17,886)	(17,886)	(320)	**(18,206)**
Total other movements	-	(174,141)	-	-	-	-	255,486	245,240	(344,471)	(17,886)	**(320)**	**(18,206)**
Balance as at 31 March 2014	475,200	2,733,502	28,394	167,018	119,524	205,000	1,290,782	752,675	17,063,334	22,835,429	**21,964,461**	**44,799,890**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the year ended	Group 2014 Rs.' 000	Group 2013 Rs.' 000	Company 2014 Rs.' 000	Company 2013 Rs.' 000
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	4,514,999	3,706,171	689,043	67,902
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(57,239)	(173,739)	(37,926)	(158,391)
Depreciation and amortization	972,249	1,979,774	308,429	559,854
Insurance provision	476,290	664,157	-	-
Change in fair value of forward contracts	(43,628)	249,874	-	-
Provision for gratuity	158,014	149,503	62,963	14,723
Net impairment (loss) / reversal on financial assets	3,530,471	2,090,382	(32,443)	54,256
Provision for fall/(increase) in value of investments	(6,170)	(140,768)	(76,888)	(96,094)
Investment Income	(1,293,860)	(822,643)	(216,270)	(121,710)
Net finance costs	16,408,948	14,527,659	2,720,484	3,464,147
(Profit)/loss on sale of quoted and non-quoted shares	(1,475,184)	6,818	100,912	6,867
Foreign exchange gain / (loss)	147,138	(91,899)	-	-
Impairment of investments	136,199	-	1,286,473	71,245
Share of profits of equity accounted investees	(1,497,380)	(246,128)	-	-
Gains on bargain purchases	(493,586)	(1,500,945)	-	-
Gain on disposal of subsidiaries	(79,846)	-	-	-
Change in fair value of investment properties	(338,461)	(909,809)	475,000	-
Amortization of deferred income	(36,868)	(8,577)	-	-
Gain / (loss) on change in fair Value of consumer biological assets	(182,542)	(102,205)	-	-
Gain on change in fair Value of bearer biological assets	216,917	(51,546)	-	-
Operating profit before working capital changes	**21,056,461**	**19,326,079**	**5,279,777**	**3,862,799**
Working capital changes				
Increase/(decrease) in trade and other payables	(2,092,839)	507,289	(320,175)	(875,717)
(Increase)/decrease in real estate stocks	2,598	13,850	-	-
(Increase)/decrease in investment in leases, hire purchase and others	719,453	1,792,740	49,283	50,150
(Increase)/decrease in investment in advances and other loans	(7,190,120)	(12,583,922)	1,245,527	3,290,032
(Increase)/decrease in premium receivables	(146,158)	(63,814)	-	-
(Increase)/decrease in inventories	391,243	399,974	(44,435)	-
(Increase)/decrease in trade and other receivables	(774,692)	1,727,714	5,712,171	3,111,593
(Increase)/decrease in customer deposits	15,337,175	8,044,691	-	-
Cash generated from operations	**27,303,120**	**19,164,601**	**11,922,148**	**9,438,857**
Finance cost paid	(16,343,665)	(14,677,457)	(2,818,199)	(3,212,589)
Income tax and Economic Service Charge paid	(759,721)	(889,626)	(6,137)	(27,187)
Defined benefit plan costs paid	(94,016)	(135,869)	(10,692)	(3,828)
Net cash from/(used in) operating activities	**10,105,718**	**3,461,649**	**9,087,120**	**6,195,253**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(3,978,928)	(841,382)
Net cash and cash equivalents on acquisition of subsidiary	(505,281)	-	-	-
Net cash and cash equivalents received on disposal of subsidiary	95,606	-	-	-
Investment in equity accounted investees	(800,203)	(372,632)	(262,462)	(2,218,277)
Acquisition of property, plant and equipment / Investment properties	(3,506,877)	(2,731,197)	(870,074)	(441,057)
Acquisition / (Disposal) of intangible assets	(93,919)	(212,800)	(46,843)	(18,479)
Net additions to trading assets	698,107	363,739	(24,596)	112,724
Net additions to investment securities	(3,645,987)	(2,953,122)	276,254	2,107,779
Proceeds from the sale of property, plant and equipment	989,675	635,704	615,689	248,106
Investment income received	1,293,860	790,779	662	36,699
Dividend received	400,990	65,815	96,101	-
Net additions of consumer biological assets	2,952	4,447	-	-
Additions of bearer biological assets	(258,536)	(216,935)	-	-
Net cash flow from investing activities	**(5,329,613)**	**(4,626,202)**	**(4,194,197)**	**(1,013,887)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing loans and borrowings	(9,386,068)	5,895,662	(1,252,451)	166,898
Principal repayment under finance lease liabilities	(149,873)	(104,407)	(73,330)	(69,694)
Proceeds from long-term interest bearing loans and borrowings	26,949,615	11,023,624	1,275,246	-
Repayments of long-term interest bearing loans and borrowings	(16,467,727)	(12,529,906)	(4,511,631)	(4,331,770)
Issue / (repayment) of debentures	-	(350,503)	8,446	-
Dividends paid to parent's shareholders	-	(237,600)	-	(237,600)
Dividends paid to non-controlling interests	(72,767)	(281,810)	-	-
Receipt of capital grants	3,437	32,523	-	-
Share issue cost of subsidiaries	(18,206)	(6,196)	-	-
Payments to buy Diriya residual Interests	(255,000)	(1,065,000)	-	-
Acquisition of non-controlling interests	(2,666,928)	(1,513,655)	-	-
Net cash generated from financing activities	**(2,063,517)**	**862,732**	**(4,553,720)**	**(4,472,166)**
Net increase/(decrease) in cash and cash equivalents during the year	2,712,588	(301,821)	339,203	709,200
Cash and cash equivalents at the beginning of the year	(284,086)	17,735	(644,687)	(1,353,887)
Cash and cash equivalents at the end of the year	**2,428,502**	**(284,086)**	**(305,484)**	**(644,687)**
Analysis of cash and cash equivalents at the end of the year				
Cash in Hand and Favorable Bank Balances	5,362,900	6,591,389	94,205	730,311
Unfavorable Bank Balances used for cash management purposes	(2,934,398)	(6,875,475)	(399,689)	(1,374,998)
	2,428,502	**(284,086)**	**(305,484)**	**(644,687)**

1. The Statement of Financial Position as at 31 March 2014, Income Statement, Statement of Other Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the one year period ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries, equity accounted investees (associates) and joint ventures and provide information as required by the listing rules of Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2. Accounting policies and methods of computation as stated in the Financial Statements for 2012/13 are followed in the preparation of these Interim Financial Statements.

3. Revenue includes revenue from trading, manufacturing, plantation and other activities of the Group.

4. Income represents the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5. Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6. All expenses related to management expenditure is fully provided for in the financial statements.

7. There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2013.

8. No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.

9. Acquisition of Equity Accounted Investees - Taprobane Holdings PLC (THL)

In January 2014, Browns Investments PLC (BIL) , one of the subsidiaries of the LOLC Group acquired a further stake of 6.32% of the voting rights of THL which resulted in gaining significant influence over THL by having 20% of voting rights. The acquisition has been accounted for using the equity method.

Provisional fair values of the identifiable assets and liabilities of THL (based on un-audited financial statements) were used when arriving at the results of the acquisition.

Gain on Bargain Purchase (negative goodwill) is recognized as a result of the acquisition as follows;

	Rs. '000
Fair value of consideration paid (net of transaction cost)	588,043
Fair value of Identifiable net assets acquired	739,648
Resulted gain on a bargain purchase	**151,605**

10. Comparative information has been reclassified and restated in conformity with the current period presentation and SLFRS transition.

11. Market prices of ordinary shares recorded during the quarter ended 31st March 2014 are as follows;

	Rs.
Closing price	75.00
Highest Price (28-02-2014)	78.90
Lowest Price (18-02-2014)	70.20

12. Information on Company's listed debentures

During the financial year 2011/12, the Company issued debentures amounting to Rs. 1.25 Bn (4 years tenure of Rs. 610 Mn at 11.7%, Rs. 500 Mn. at 12% and 5 years tenure of Rs. 140 Mn. at 11.9%) which are listed in the Colombo Stock Exchange (CSE). The details related to them are as follows;

- Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 26 March 2014

	Buying	Selling
4 Year Bond		
Price	100.58	100.82
Yield	7.70%	7.58%
5 Year Bond		
Price	98.49	98.78
Yield	8.94%	8.85%

- Market prices and yield during the year (ex interest)	4 Year Bond	5 Year Bond
Market yield	6.73%	6.75%
Market Price	Not traded during the period	

Debt to equity	0.42	times
Interest cover	1.25	times

Lanka Orix Leasing Company PLC
Operating Segments

For the Year ended 31 March 2014	Financial Services Rs.' 000	Insurance Rs.' 000	Trading Rs.' 000	Leisure Rs.' 000	Plantation Rs.' 000	Power & Energy Rs.' 000	Others / Adjustments Rs.' 000	Total Rs.' 000
Gross income	30,319,104	2,246,279	11,826,671	1,333,855	3,388,595	38,642	(4,145,366)	**45,007,780**
Cost of sales	-	-	(7,251,424)	(217,876)	(810,840)	(5,344)	39,801	**(8,245,683)**
Net finance costs	(15,513,011)	(19,506)	(1,101,657)	(350,906)	(126,911)	(62,823)	765,866	**(16,408,948)**
Profit before operating expenses	**14,806,093**	**2,226,773**	**3,473,590**	**765,073**	**2,450,844**	**(29,525)**	**(3,339,699)**	**20,353,149**
Operating expenses	(10,672,834)	(2,144,415)	(2,931,870)	(1,100,034)	(2,437,768)	(129,635)	1,507,594	**(17,908,962)**
Results from operating activities	**4,133,259**	**82,358**	**541,720**	**(334,961)**	**13,076**	**(159,160)**	**(1,832,105)**	**2,444,187**
Gain on disposal of subsidiaries	-	-	-	-	-	-	79,846	**79,846**
Share of profits of equity accounted investees	-	-	-	-	-	-	1,497,380	**1,497,380**
Gains on bargain purchases (negative goodwill)	-	-	-	-	-	-	493,586	**493,586**
Profit before taxation	**4,133,259**	**82,358**	**541,720**	**(334,961)**	**13,076**	**(159,160)**	**238,707**	**4,514,999**
For the Year ended 31 March 2013								
Gross income	26,145,084	1,181,800	13,745,710	1,349,411	3,508,743	45,737	(3,585,311)	42,391,174
Cost of sales	-	-	(10,202,737)	(215,740)	(729,828)	(7,236)	433,627	(10,721,914)
Net finance costs	(14,624,969)	-	(1,236,472)	(231,654)	(109,594)	(43,212)	1,718,242	(14,527,659)
Profit before operating expenses	11,520,115	1,181,800	2,306,501	902,017	2,669,321	(4,711)	(1,433,442)	17,141,601
Operating expenses	(8,121,128)	(1,155,009)	(2,158,656)	(1,805,862)	(2,203,015)	(142,814)	403,981	(15,182,503)
Results from operating activities	3,398,987	26,791	147,845	(903,845)	466,306	(147,525)	(1,029,461)	1,959,098
Share of profits of equity accounted investees	-	-	-	-	-	-	246,128	246,128
Gains on bargain purchases (negative goodwill)	-	-	-	-	-	-	1,500,945	1,500,945
Profit before taxation	3,398,987	26,791	147,845	(903,845)	466,306	(147,525)	717,612	3,706,171

For the Year ended 31 March 2014	Financial Services Rs.' 000	Insurance Rs.' 000	Trading Rs.' 000	Leisure Rs.' 000	Plantation Rs.' 000	Power & Energy Rs.' 000	Others / Adjustments Rs.' 000	Total Rs.' 000
Depreciation and amortization	1,102,333	29,276	186,993	188,615	88,106	41,347	(664,421)	**972,249**
Net impairment (loss) / reversal on financial assets	3,534,390	-	(3,919)	-	-	-	-	**3,530,471**
Total assets (as at 31 March 2014)	146,376,712	2,508,779	20,690,139	20,562,490	9,375,827	905,934	(24,959,383)	**175,460,498**
Total liabilities (as at 31 March 2014)	114,202,002	1,762,193	8,999,447	6,296,755	3,125,346	666,031	(4,391,166)	**130,660,608**
For the Year ended 31 March 2013								
Depreciation and amortization	623,364	11,062	237,318	964,991	85,371	49,330	8,338	**1,979,774**
Net impairment (loss) / reversal on financial assets	2,033,888	-	13,058	-	-	-	43,436	**2,090,382**
Total assets (as at 31 March 2013)	137,568,611	1,930,328	28,762,849	16,565,576	9,177,230	888,292	(31,911,357)	**162,981,529**
Total liabilities (as at 31 March 2013)	118,658,957	1,343,972	14,255,792	3,130,938	2,817,362	407,913	(21,006,163)	**119,608,771**

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 31 March 2014

Directors Name	No of shares	%
Mrs. R L Nanayakkara *Chairperson*	-	-
Mr. I C Nanayakkara *Deputy Chairman*	59,895,500	12.604
Deshamanya M D D Peiris	-	-
Mr. R A Fernando	12,600	0.003
Mrs. K U Amarasinghe	23,760,000	5.000
Mr. R M Nanayakkara	172,492,292	36.299
Mr. W D K Jayawardena *Managing Director / Group CEO*	-	-
Mr. H Yamaguchi	-	-
Mr. Y Oshima	-	-
Mr. S Yamana (Alternate Director to Mr. H Yamaguchi)	-	-
Mr. S Hamada (Alternate Director to Mr. Y Oshima)	-	-

Top Twenty Shareholders as at 31 March 2014

	Shareholder	No. of Shares	% of Issued Capital
1	Mr. R M Nanayakkara	172,492,292	36.299
2	Orix Corporation	142,560,000	30.000
3	Mr. I C Nanayakkara	59,895,500	12.604
4	Mrs. K U Amarasinghe	23,760,000	5.000
5	Employees Provident Fund	15,182,259	3.195
6	HSBC Intl Nom Ltd - BBH - Mathews International Funds	12,121,473	2.551
7	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-ABN	6,937,775	1.460
8	Dr. R R De Silva	3,506,480	0.738
9	Employees Trust Fund Board	3,407,737	0.717
10	Mrs. I Nanayakkara	2,827,948	0.595
11	Bank of Ceylon - No 2 Account	1,546,000	0.325
12	Mr. M Radhakrishnan	1,500,000	0.316
13	HSBC / Mr. R C De Silva	1,150,000	0.242
14	Mr. G G Ponnambalam	1,044,960	0.220
15	Dr. M Ponnambalam	1,044,960	0.220
16	Swasthika Mills LTD	1,006,800	0.212
17	Mr. R C De Silva	1,000,000	0.210
18	Mrs. S N Fernando	818,440	0.172
19	Mr. S Nadesan	660,000	0.139
20	MR N Maalouf	650,000	0.137
		453,112,624	**95.352**

The Public Shareholding as at 31 March 2014 was 15.50 %